Executive tear sheet

Conditional ADJUST

Retain the constrained minimum-variance rule as a candidate. Resolve the spending plan, loss budgets and drift policy before committing capital. This is a team proposal under review, not an approved decision.

Proposed target, 30 Oct 2026

ETF	Target (%)	ES share (%)
SPY	20.4	29.6
AGG	40.0	7.0
GLD	25.0	31.6
XLE	14.6	31.8

Next-session target, not a trade instruction. ES share is signed, on the recent Historical 99% sample.

Risk against proposed budgets

One-day, USD on $10M	Estimate	Budget	
VaR 99%, recent	$153,950	$150,000	**Above**
ES 99%, recent	$203,169	$200,000	**Above**
ES 99%, full history	$250,185	$200,000	**Above**

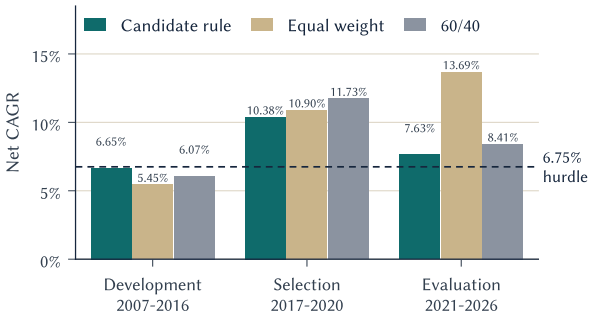
Excesses: VaR $3,950, ES $3,169 on the recent 1,260 sessions, which omit the GFC and COVID-19. Normal VaR is 1.29%; pure POT VaR is 1.56%.

Performance, net of trading costs

	2007–16	2017–20	2021–26	60/40
Net CAGR (%)	6.65	10.38	7.63	8.41
Volatility (%)	8.77	7.74	8.80	10.66
Max drawdown (%)	−22.18	−14.47	−16.78	−20.77
Sharpe	0.70	1.14	0.51	0.50

Before spending and the extra fee; 60/40 is 2021–26. The proposed hurdle of 6.75% = 4.00% spending + 2.50% inflation + 0.25% fee. It is a planning sum, not a forecast.

Funding trade-off



Crisis replay of today's target

	Endpoint	Drawdown	60/40 DD
GFC 2007–09	−8.93%	−23.87%	−30.33%
COVID-19 2020	−16.23%	−18.84%	−20.81%
Rate shock 2022	−6.57%	−13.36%	−20.63%

Buy-and-hold ex-post replays, not the strategy's historical record. GFC drawdown exceeds the 20.00% review line.

Model validation

99% VaR, prior 500 days	Exceptions	Result
Historical, last 250	4	Green
Normal, last 250	9	**Yellow**
Historical, 2021–26	18 / 1,464	Not rejected
Historical, full	65 / 4,987	**Rejected**

Basel zones are educational. Non-rejection is not proof of safety.

What needs adjusting

- **Funding.** Ending cash yield of 2.19% is below 4.00% spending, so planned sales and liquidity need approval.
- **Concentration.** XLE is 14.6% of target but 31.8% of ES; GLD is 31.6%. Weight is not the same as risk.
- **Drift.** Holdings passed a target cap on 2,771 of 4,987 sessions, peaking at 45.14% in AGG. Targets are controlled; daily holdings are not.
- **Monitoring.** Review quarterly. Escalate if ES 99% exceeds 2.00%, drawdown exceeds 20.00%, holdings pass a target cap, or exceptions cluster. Limits are not raised to make the portfolio pass.

Rule: 504 prior sessions, monthly long-only minimum variance; each ETF at most 40%, equities at most 35%; 5 bp per unit traded. Day-level RF and ex-post CPI limits apply. AI materially assisted this work; independent human validation is pending and no university committee has approved it.